Credit Derivatives Regulatory Changes

Seminar Module

conducted by

ACF Consultants Ltd





© 2001-23 ACF Consultants Ltd

Topics Covered

- The Dodd Frank Act (DFA), Title VII
- Product eligibility
- Counterparty eligibility
- Trade reporting
- Mandatory clearing
- Business Conduct Standards
- Swap Execution Facilities (SEFs)

© 2001-23 ACF Consultants Ltd

The Dodd Frank Act, Title VII

© 2001-23 ACF Consultants Ltd

Brief Summary of Dodd-Frank

The Dodd-Frank Act

- The first paragraph of the act states its purpose as follows:
  - "To promote the financial stability of the United States by improving accountability and transparency in the financial system, …
  - to end "too big to fail", …
  - to protect the American taxpayer by ending bailouts, …
  - to protect consumers from abusive financial services practices, …
  - and for other purposes."

- The major provisions of the act provide for:
  - An overhaul of U.S. financial regulatory agencies
  - **Changes in the way in which derivatives are traded**
  - Increases in capital requirements for banks and nonbank holding companies
  - Increases in control over and reporting requirements for hedge funds
  - Bans on proprietary trading by banking companies
  - Increases in disclosure and risk retention by issuers of securitized mortgage securities
  - Increases in disclosure, governance and liability for credit rating agencies
  - Increases in protections for consumers and investors

© 2001-23 ACF Consultants Ltd

Major Provisions of Dodd-Frank – Derivatives Regulation

- **Mandatory registration** of swap dealers and major participants (MSPs)
- **Mandatory trade execution**
  - If it is determined that a swap must be cleared, it must be traded on an exchange or swap execution facility (SEF)
- Capital and Margin Requirements
  - Both banks and non-banks will be required to set minimum initial and variation margin requirements
- Prohibits federal assistance to any swap dealer on non-bank swap participant
- Defines “non-eligible contract participants (NECPs)
  - Non-eligible participants **must** always transact through an exchange
- Establishes new business conduct standards
  - These include matters relating to disclosure, and fiduciary responsibilities
- Regulators may establish position limits and reporting requirements

© 2001-23 ACF Consultants Ltd

Derivatives: Regulators and Jurisdiction

- The Act provides for split jurisdiction of derivatives regulation between the Commodities Futures Trading Commission (CFTC) and the Securities and Exchange Commission (SEC)
- The **CFTC** is the regulator for “swaps”
- The **SEC** is the regulator for “security-based swaps”

The definitions for the above terms are as follows:

- Swap
  - Broadly defined, but excludes contracts that are to be settled physically, such as futures contracts, debt securities, and security-based swaps (see below)
  - FX swaps and forwards are included, unless the Secretary of the Treasury determines otherwise (currently, no such proposal has been made)
  - Includes **credit indic**es like CDX and iTraxx
- Security Based Swap
  - A swap on a single security or loan, or a narrowly-based security index (generally, having nine or fewer components). This definition specifically includes **credit default swaps**

© 2001-23 ACF Consultants Ltd

Product Eligibility

© 2001-23 ACF Consultants Ltd

The Major Categories of Swaps

Four categories of swaps and two categories of securities-based swaps are proposed, which are intended to be all-inclusive.

An entity may be considered to be a major swap participant (MSP) in one or more of these swaps categories.

Rate Swaps

- Any swap which is primarily based on one or more reference rates, such as interest rates, foreign exchange rates, or inflation rates. Rate swaps also include options on these underlying rates

Credit Swaps

- Any swap that is primarily based on **debt instruments**, including but not limited to swaps based on one or more indices related to debt instruments. This includes any swap that is an indexed **credit default swap** or total return swap on one or more debt indices

Equity Swaps

- Any swap that is primarily based on **equity securities**, such as a swap based on one or more broad-based equity index, or any total return swap on one or more equity indices

Other Commodity Swaps

- Any swap that is not included in the above categories. Including, but not limited to any swap for which the primary underlying item is a physical commodity, or any other aspect of a physical **commodity**

© 2001-23 ACF Consultants Ltd

The Major Categories of Securities-Based Swaps

Proposed rules create two categories of security based swaps, which are to be regulated by the SEC. These are:

Security-Based Credit Derivatives

- Any swap that is based on one or more instruments of indebtedness (including loans), or on a credit event relating to issuers or securities
- This includes, but is not limited to any security-based swap that is a **credit default swap** or a total return swap on one or more debt instruments or credit spread

Other Security Based Swaps

- Any other security-based swaps not included in the above category, including but not limited to equity swaps

The major distinction between a swap and securities-based swap is that:

- A **swap** refers to an underlying that is a broadly-based index
- A **securities-based swap** is based on an underlying that is based on the securities of one or more designated issuers

© 2001-23 ACF Consultants Ltd

Summary of Swaps and their Regulator

Regulated by the SEC

Security-Based Swaps (e.g. CDS)

Regulated by the CFTC

Other Commodity Swaps

Equity Swaps

Credit Swaps

Rate Swaps

© 2001-23 ACF Consultants Ltd

Issues Arising from Split Regulation

- Client positions in index trades and CDSs need to be held in separate client a/cs
  - Consider a portfolio comprising:
    - Buy protection on 125 single-names each $1m
    - Sell protection on CDX with notional $125m
  - Margins:
    - Portfolio margining: $1.25m
    - Segregated accounts: $5.53m
- SEC published an exemption order in Dec 2012 giving FCMs ability to commingle and portfolio-margin customer positions in a single segregated a/c…
- … but only after each FCM obtains approval from SEC
- On 8th March 2013, hours before the mandatory clearing deadline, the SEC rushed out temporary margining provisions:
  - Most buy-side firms must post 150% of the margin charged by the CCP to dealers
  - Hedge funds must post 200% of the dealer margin

© 2001-23 ACF Consultants Ltd

Counterparty Eligibility

© 2001-23 ACF Consultants Ltd

Swaps: Defining the Participants

- The Act's language uses various terms such as:
  - "Swap Dealer" (SD)
  - "Major Swap Participant" (MSP)
  - "Eligible Contract Participant" (ECP).
- These terms are subject to further rulings, but are currently defined as:

Swap Dealers (SD) and Security-Based Swap Dealers (SBSD)

- Hold themselves out as dealers in swaps
- Makes a market in swaps
- Regularly enters into swaps with counterparties in the ordinary course of business for its own account
- Engages in any activity causing the person to be known in the trade as a dealer or market maker in swaps
- Is a member of a swap association in a category reserved for dealers

© 2001-23 ACF Consultants Ltd

Swaps: Defining the Participants (cont'd)

Major Swap Participants (MSPs) and Major Securities-Based Swap Participants (MSBSPs)

- Entities who are not SDs or MSBSPs
- Maintain a substantial position in any of the of the major swap or security based swap categories excluding positions maintained for hedging
- Whose outstanding swaps or security based swaps create substantial counterparty exposure.
- Is a financial entity that is highly leveraged and is not subject to capital requirements established by an appropriate regulator (banking regulator, CFTC, or SEC)

Exclusions

- Persons who enter into swaps for their own account but not as a part of a regular business
- Insured depository institutions that enter into swaps with customers in connection with originating loans to those customers
- *De Minimis* exceptions (proposed, but not finalized)
  - Less than $100 million (notional amount) of swaps entered into in the prior 12 months as a dealer
  - Maximum of 15 counterparties (other than with swap dealers) in the prior 12 months
  - Maximum of 20 swaps entered into as a dealer

© 2001-23 ACF Consultants Ltd

Swaps: Defining the Participants (cont'd)

Eligible Contract Participant (ECP)

- Defined under the Commodities Exchange Act of 1936, and several amendments thereto.
- Entities covered include:
  - **Financial institutions** – A regulated financial institution such as a bank.
  - **Insurance companies** – Regulated by a state or a foreign government
  - **Investment companies** – Subject to regulation under the Investment Company Act of 1940
  - **Commodity pools** – With total assets exceeding $5,000,000
  - **Corporations, partnerships, proprietorships, organizations, trusts, or other entities** – With total assets exceeding $10,000,000, or has a net worth exceeding $1 million
  - **An employee benefit plan** subject to the Employee Retirement Income Security Act of 1974 that has total assets exceeding $5,000,000
  - **A governmental entity** that owns and invests on a discretionary basis $25,000,000 or more
  - **A broker or dealer** subject to regulation under the Securities Exchange Act of 1934
  - **An individual** who
    - Has total assets in an amount in excess of (a) $10,000,000, or (b) $5,000,000
    - Enters into the agreement, contract, or transaction in order to manage the risk associated with an asset owned or liability incurred, or reasonably likely to be owned or incurred, by the individual.

© 2001-23 ACF Consultants Ltd

Swaps: Defining the Participants (cont'd)

- Restrictions on Swap Trading by Non-ECPs
  - Dodd-Frank makes it unlawful for a party that is not an ECP (a "non-ECP") to enter into a swap or a SBS outside of a futures or securities exchange, respectively
  - Furthermore, if a non-ECP enters into a securities based swap, then Dodd-Frank requires that a registration statement for the product be in effect

© 2001-23 ACF Consultants Ltd

Trade Reporting

© 2001-23 ACF Consultants Ltd

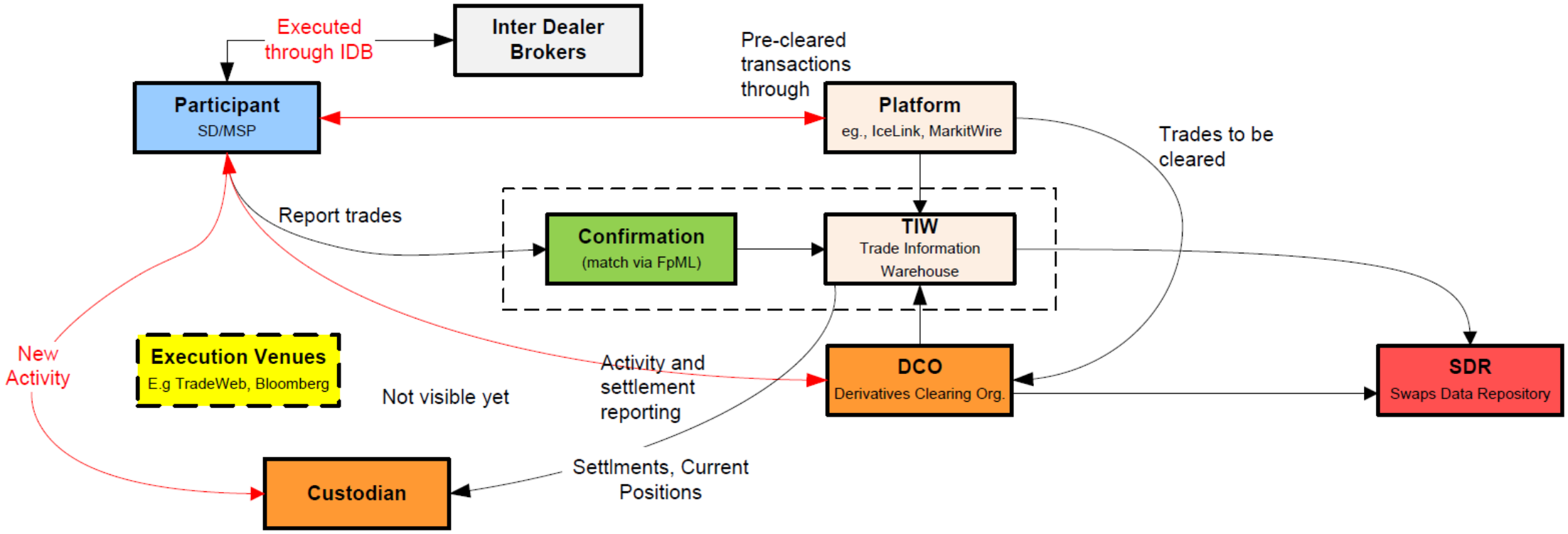
Swap Data Repositories (SDRs)

- A common theme of the latest financial markets regulations is the tracking and public reporting of OTC trade data related to swap transactions
- In the US, the DFA requires **all** swap transaction data be reported to **Swap Data Repositories** (SDRs)
  - New, regulated market entities
  - With rules created by the CFTC to define reporting obligations and core principles
- Fundamental purpose of SDRs:
  - To provide transparency to the swaps market
  - To deliver real-time, public disclosure of transaction data
- SDRs requirements:
  - Must register with CFTC
  - Must report economic terms of a swap transaction
  - Must record confirmations and life cycle events related to transactions
  - Must manage data reporting obligations
  - Must maintain policy and procedures to ensure data security, privacy, and integrity
  - Must permit access by regulators
  - … all in **real-time**

© 2001-23 ACF Consultants Ltd

Information Flows and Trade Reporting

Information flows relating to a cleared credit derivative transaction:



© 2001-23 ACF Consultants Ltd

SDR Example from the DTCC



GRAB

97) Export to Excel | 98) Settings | 99) Feedback | SDR Trade Activity

Source: DTCC (The Depository Trust & Clearing Corporation) Period Today As of 01/14 08:10

1) Credit | 2) Rates

11) Swaps | 12) Options | 13) Tranches | 14) Mortgage | 15) Total Return Swaps/Others

View: Aggregated Trades | Individual Trades

	Instrument	Code	Maturity	Price	Curr	Notional (MM)	Cleared	Trade Time†
1.	MARKIT CDX.NA.IG.19 12/17	TR	12/20/17	87.0000	USD	50	U	06:55:13
2.	MARKIT ITRX EUR SNR FIN 12/17 S18	TR	12/20/17	126.5000	EUR	50	U	06:48:24
3.	MARKIT ITRX EUR SNR FIN 12/17 S18	TR	12/20/17	126.5000	EUR	25	U	06:48:17
4.	MARKIT CDX.NA.IG.19 12/17	TR	12/20/17	86.8750	USD	50	U	06:44:42
5.	MARKIT CDX.NA.HY.19 12/17	TR	12/20/17	102.3750	USD	8	U	06:44:00
6.	MARKIT CDX.NA.HY.19 12/17	N	12/20/17	102.3750	USD	8	U	06:44:00
7.	MARKIT ITRX EUROPE 12/17 S18	TR	12/20/17	101.2600	EUR	15	U	06:43:51
8.	MARKIT CDX.NA.IG.19 12/17	TR	12/20/17	87.0000	USD	15	U	06:42:12
9.	MARKIT ITRX EUR XOVER 06/17 S17	N	06/20/17	0.0000	EUR	<1	U	06:35:16
10.	MARKIT ITRX EUR SNR FIN 12/17 S18	TR	12/20/17	126.0000	EUR	19	U	06:09:50
11.	MARKIT ITRX EUROPE 12/17 S18	TR	12/20/17	101.0000	EUR	10	U	06:07:27
12.	MARKIT ITRX EUR XOVER 12/17 S18	TR	12/20/17	420.0000	EUR	5	C	06:05:08
13.	MARKIT CDX.NA.IG.19 12/17	TR	12/20/17	1.0000	USD	2	U	05:59:31
14.	MARKIT ITRX EUR SNR FIN 12/17 S18	TR	12/20/17	125.5000	EUR	49	U	05:54:11
15.	MARKIT ITRX EUROPE 12/17 S18	TR	12/20/17	100.8750	EUR	10	U	05:52:29
16.	MARKIT ITRX EUR SNR FIN 12/17 S18	TR	12/20/17	124.5000	EUR	50	U	05:52:19
17.	MARKIT ITRX EUR SNR FIN 06/17 S17	TR	06/20/17	1.0000	EUR	55	U	05:52:12
18.	MARKIT ITRX EUROPE* 06/17 S7	TR	06/20/17	0.0000	EUR	25	U	05:43:04
19.	MARKIT ITRX EUROPE 06/13 S9	TR	06/20/13	0.0000	EUR	75+	U	05:43:02
20.	MARKIT ITRX EUROPE 12/22 S18	TR	12/20/22	0.0137	EUR	25	U	05:39:56

Australia 61 2 9777 8600 Brazil 5511 3048 4500 Europe 44 20 7330 7500 Germany 49 69 9204 1210 Hong Kong 852 2977 6000
Japan 81 3 3201 8900 Singapore 65 6212 1000 U.S. 1 212 318 2000 Copyright 2013 Bloomberg Finance L.P.
SN 111910 3 14-Jan-13 8:10:22 EST GMT-5:00

© 2001-23 ACF Consultants Ltd

Mandatory Clearing

© 2001-23 ACF Consultants Ltd

Clearing and Trading Requirements

Mandatory Clearing

- A swap must be cleared if:
  - The applicable regulator determines that it is required to be cleared, and;
  - A clearing organization accepts the swap for clearing
- The determination process may be initiated by the applicable regulator or by a clearing organization, and may relate to a single swap or any group or category of swaps
- Mandatory clearing requirements will not apply to existing swaps if they are reported to a swap data repository, or if none, to the applicable regulator in a timely manner

Commercial End-User Exemption

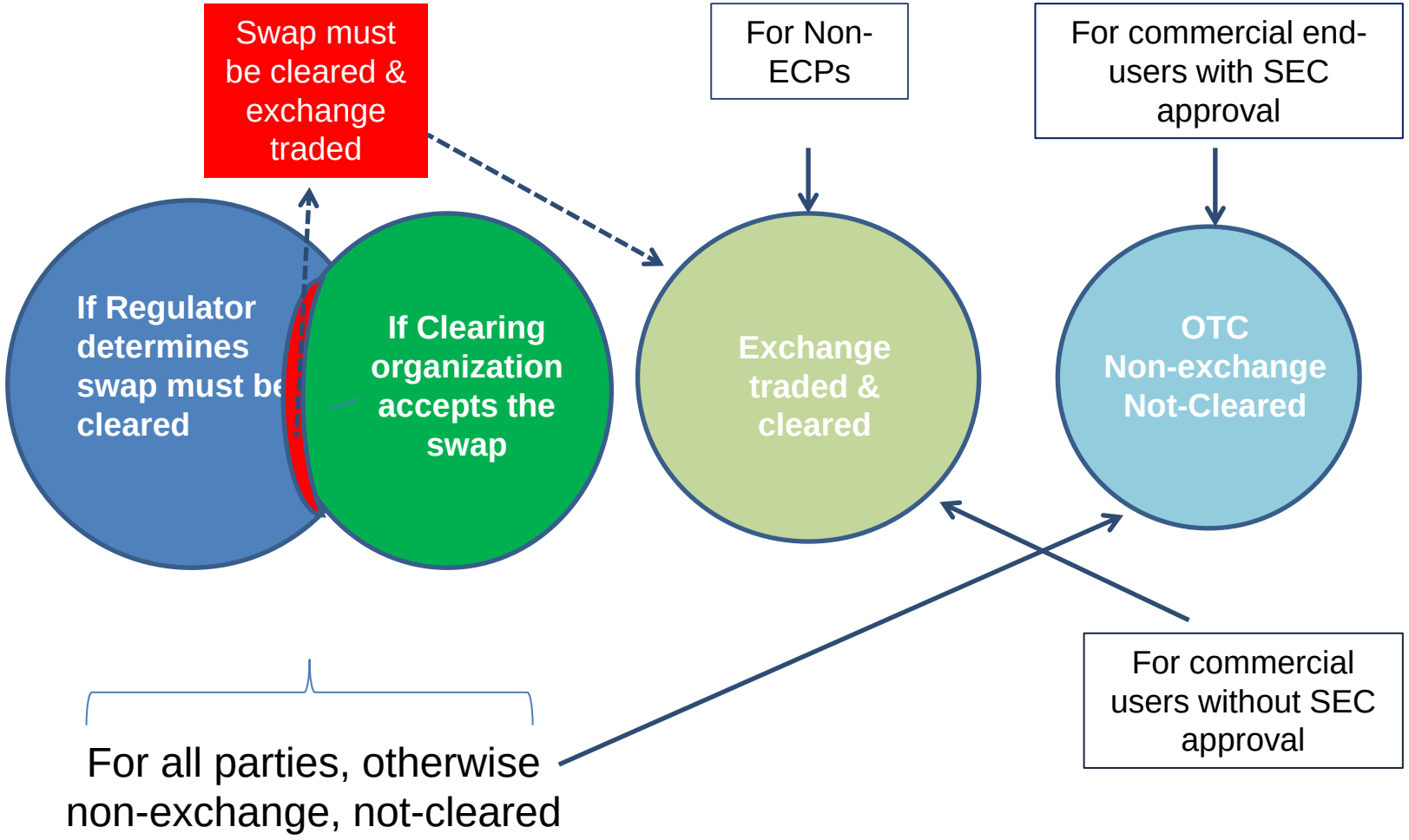
- If one of the counterparties to the swap is not a financial entity, or is using swaps to hedge or mitigate commercial risk, and notifies the regulator how it will meet its obligations associated with the non-cleared swap, the end-user may apply to the regulator for exemption from the clearing requirement

Mandatory Trade Execution

- If a swap must be cleared, it must be executed on an exchange or Swap Execution Facility, unless no exchange or execution facility makes the swap available for trading
- Non-ECPs must always enter into swaps via an exchange

© 2001-23 ACF Consultants Ltd

Swap Clearing & Trading Rules



© 2001-23 ACF Consultants Ltd

ICE Clear Credit and ICE Clear Europe

- The world's largest clearing houses for CDS
  - ICE Clear Credit established in March 2009
  - ICE Clear Europe established in July 2009
- In July of 2011, it became a:
  - CFTC-regulated **Derivatives Clearing Organization (DCO)**
  - SEC-regulated **Securities Clearing Agency (SCA)**
- Membership is open to institutions that meet objective financial and eligibility standards

© 2001-23 ACF Consultants Ltd

ICE Clearing Statistics

ICE CDS Clearing*	ICE Clear Credit**				ICE Clear Europe***			
	INDEX	CORPORATE SINGLE NAMES	SOVEREIGN SINGLE NAMES	INDEX OPTIONS	INDEX	CORPORATE SINGLE NAMES	SOVEREIGN SINGLE NAMES	TOTAL
Instruments/Reference Entities**	190	549	40	4,886	130	190	7	5,665
Number of Trades Cleared	2,956,234	1,734,052	489,066	1,356	830,377	915,199	38,104	6,964,388
Gross Notional Cleared (trillion)	$138.099	$8.401	$4.595	$0.291	€ 30.108	€ 4.177	€ 0.737	$194.123
Buy-side Notional Cleared (trillion)	$96.772	$2.463	$1.386	$0.222	€ 3.286	€ 0.071	€ 0.009	$104.624
Open Interest (trillion)	$0.994	$0.461	$0.172	$0.100	€ 0.125	€ 0.053	€ 0.029	$1.861
Clearing Members		**29**				**28**		**57**

*Comprehensive data from launch through April 28, 2023. CDS clearing began at ICE Clear Credit (formerly ICE Trust) in March 2009 and at ICE Clear Europe in July 2009. **Indices include North American, European (iTraxx) and Emerging Market (CDX) instruments. Corporate single names include both North American and European instruments. All indices and single names are available for both client and dealer-dealer clearing. ***Indices include North American and European (iTraxx) instruments. All indices are available for both client and dealer-dealer clearing. ****Instruments for indices/index options; Reference Entities for single names.

Note: Because many instruments are listed for clearing at both ICE Clear Credit and ICE Clear Europe, the total instruments cleared is less than the sum of each column.

Source: ICE, 2nd May 2023

© 2001-23 ACF Consultants Ltd

Registration, Capital, and Margin Requirements

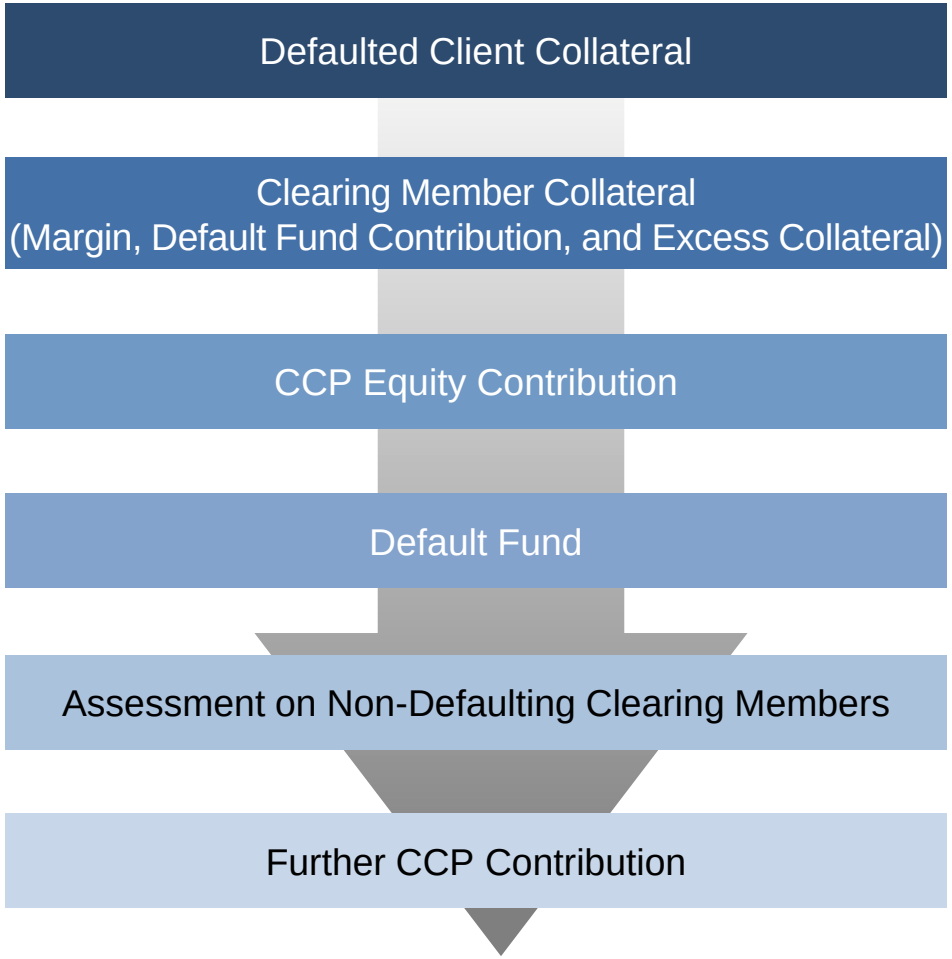
- Registration
  - Swap Dealers and Major Swap Participants must register with an applicable authority regardless of whether they are registered with the other applicable regulator, or are a depository institution
- Capital and Margin
  - For Swap Dealers and Major Swap Participants, the applicable regulator will set minimum capital requirements and initial and variation margin requirements
    - In the case of banks, the applicable regulator is the Federal banking regulator
    - In the case of non-banks, the applicable regulator is either the CFTC or the SEC
    - The Act permits the use of non-cash collateral
    - For non-cleared swaps, Swap Dealers and MSPs may, upon request hold their counterparties initial margin at a segregated account at an independent third-party custodian
    - The Act does not provide an exemption from margin in the case of commercial end-users
      - ~ However, senators Dodd and Lincoln have stated that the intention of the Act is not to impose margin requirements on commercial end-users
      - ~ Further clarification is expected

© 2001-23 ACF Consultants Ltd

Waterfall of ICE Clear Credit Resources

In the event of a defaulting member's default, losses are met from the following resources:

- Defaulting member's variation and initial margin
- Defaulting member's default fund contribution
- Juniorised default fund contributions
- CCP's own capital and reserves
- Surviving members' default fund contributions
- Pre-agreed top-up contributions to the CCP fund
- Margin accounts of every remaining member firm that is a net receiver of margin
  - … achieved by taking a haircut on the variation margin received, according to a set formula



© 2001-23 ACF Consultants Ltd

Business Conduct Standards

© 2001-23 ACF Consultants Ltd

Business Conduct Standards

Swap Dealers and Major Swap Participants must conform with business conduct standards including:

- Disclosure to non-swap dealer and non-MSP parties of the material risks and characteristics of the swaps
- Disclosure of any material incentives or conflict of interest that the Swap Dealer or MSP may have
- Additional responsibilities with respect to “special entities” such as States, municipalities, State and Federal agencies, pension plans, and endowments:
  - A Swap Dealer acting as an advisor to a special entity has a duty to act in the best interest of the special entity
  - A Swap Dealer or MSP that offers or enters into a swap with a special entity must comply with any duty established by the applicable regulator requiring that the Swap Dealer or MSP must have “a reasonable basis to believe” that the special entity is advised by a qualified independent representative

© 2001-23 ACF Consultants Ltd

Swap Execution Facilities

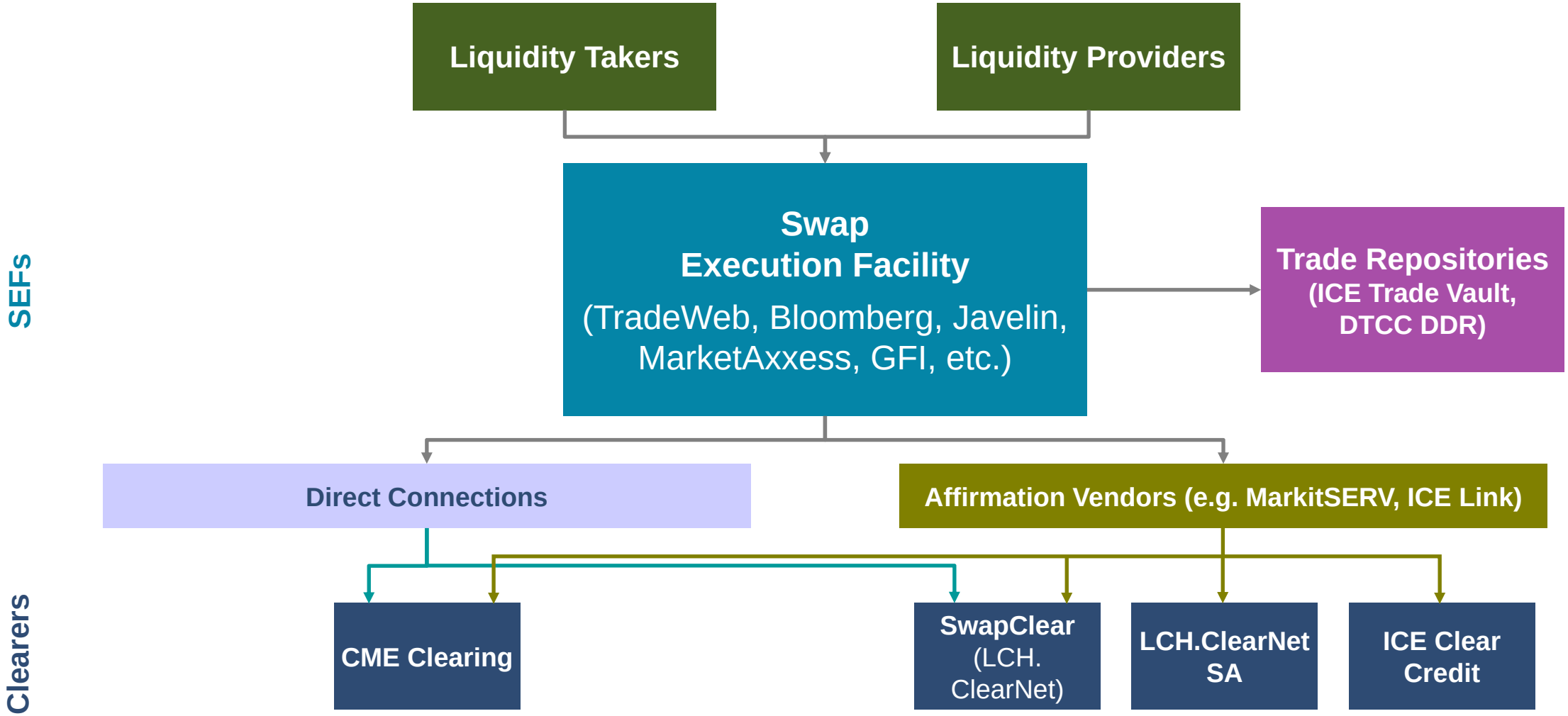
© 2001-23 ACF Consultants Ltd

Swap Execution Facilities

- Traditionally, swaps have been privately negotiated contracts traded either:
  - By telephone, or
  - Electronically, using services like TradeWeb
- The Dodd-Frank Act of 2010, however, now mandates that all US trading in standardised OTC derivatives be:
  - Executed on a **Swap Execution Facility**
  - Cleared by a Central Counterparty
- A Swap Execution Facility (SEF) is:
  - A facility, trading system, or platform
  - Open to a wide range of participants
  - Whereby multiple participants can make bids & offers
  - And other participants have the ability to execute or trade swaps at those prices
- SEFs:
  - Provide pre- and post-trade transparency
  - Encourage competitive execution for the entire institutional marketplace
  - Provide the tools required to ensure a complete record and audit trail of all trades
- In Europe, MiFID may be amended to reflect some of the aspects of the DFA

© 2001-23 ACF Consultants Ltd

Swap Execution Facilities and Central Clearing



© 2001-23 ACF Consultants Ltd